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Fzco v. Dennis Corp.

United States District Court for the District of South Carolina, Florence Division

August 29, 2022, Decided; August 29, 2022, Filed

Civil Action No.: 4:22-cv-02355-RBH

Reporter
2022 U.S. Dist. LEXIS 238169 *; 2022 WL 18674462

Phoenix Trading FZCO, Block One Technology Inc., Phoenix World Electronics Trading, LLC, Phoenix Technology Consultants, Phoenix World Electronics, LLC, Absolute Power Solutions, Inc., and Block Zero HS, Inc., Plaintiffs, v. Dennis Corporation, Sabre56, Sabre56 FZCO, The Crypto Can Man Ltd., Multi Service Company, Johnny Eason, individually and as an agent of CCM, Tyler MacPhearson, and Phil Harvey, Defendants.

Counsel: [*1] For Absolute Power Solutions Inc, Phoenix Trading FZCO, Plaintiffs: Rachel Elizabeth Lee, Jonathan M Robinson, Shanon Nicole Peake, LEAD ATTORNEYS, Smith Robinson LLC, Columbia, SC; G Murrell Smith Jr, LEAD ATTORNEY, Smith Robinson Holler Dubose and Morgan LLC, Sumter, SC.

For Block Zero HS Inc, Plaintiff: G Murrell Smith Jr, LEAD ATTORNEY, Smith Robinson Holler Dubose and Morgan LLC, Sumter, SC; Jonathan M Robinson, Rachel Elizabeth Lee, Shanon Nicole Peake, LEAD ATTORNEYS, Smith Robinson LLC, Columbia, SC.

For Phoenix Technology Consultants, Plaintiff: Shanon Nicole Peake, Rachel Elizabeth Lee, Jonathan M Robinson, LEAD ATTORNEYS, Smith Robinson LLC, Columbia, SC; G Murrell Smith Jr, LEAD ATTORNEY, Smith Robinson Holler Dubose and Morgan LLC, Sumter, SC.

For Block One Technology Inc, Phoenix World Electronics Trading LLC, Plaintiffs: G Murrell Smith Jr, LEAD ATTORNEY, Smith Robinson Holler Dubose and Morgan LLC, Sumter, SC; Rachel Elizabeth Lee, Jonathan M Robinson, Shanon Nicole Peake, LEAD ATTORNEYS, Smith Robinson LLC, Columbia, SC.

For Crypto Can Man Ltd, Defendant: Joseph Calhoun Watson, LEAD ATTORNEY, Robinson Gray Stepp and Laffitte LLC, Columbia, SC; Christopher Lee Boguski, LEAD **[*2]** ATTORNEY, Robinson Gray Stepp & Laffitte LLC, Columbia, SC.

For Phoenix World Electronics LLC, Plaintiff: Jonathan M Robinson, Shanon Nicole Peake, Rachel Elizabeth Lee, LEAD ATTORNEYS, Smith Robinson LLC, Columbia, SC; G Murrell Smith Jr, LEAD ATTORNEY, Smith Robinson Holler Dubose and Morgan LLC, Sumter, SC.

For Dennis Corporation, Defendant: Robert Bryan Barnes, LEAD ATTORNEY, Rogers Townsend and Thomas, Columbia, SC; Catherine Ava Leatherwood, LEAD ATTORNEY, Rogers Townsend LLC, Columbia, SC.

For Johnny Eason, CCM, Johnny Eason, agent of, Johnny Eason, individually and as an agent of CCM, Multi Service Company, Defendants: William Jonathan Harling, LEAD ATTORNEY, Harling and West, Lexington, SC.

Judges: R. Bryan Harwell, Chief United States District Judge.

Opinion by: R. Bryan Harwell

Opinion

ORDER

This case illustrates how "alien citizenship on both sides of [a] controversy destroys diversity." *Gen. Tech. Applications, Inc. v. Exro Ltda, 388 F.3d 114, 120 (4th Cir. 2004)*. The Court lacks diversity jurisdiction in this matter and grants Plaintiffs' motion to remand to state court.[1]

Background

This action arises from a dispute over the construction of cryptocurrency mining facilities in Marlboro and Dillon Counties, South Carolina. Plaintiffs originally filed the action in the Dillon County **[*3]** Court of Common Pleas on June 22, 2022, alleging thirteen state-law causes of action. ECF No. 1-1.

There are seven Plaintiffs and eight Defendants with the following citizenships:

. *Plaintiffs*: Phoenix Trading FZCO and Phoenix Technology Consultants are citizens of the United Arab Emirates ("UAE"); Block One Technology Inc. is a citizen of Canada; Phoenix World Electronics Trading, LLC and Phoenix World Electronics, LLC are citizens of the UAE and the United Kingdom (based on the citizenship of their members); and Absolute Power Solutions, Inc. and Block Zero HS, Inc. are citizens of Delaware and the UAE (based on their state of incorporation and principal places of business).

. *Defendants*: Dennis Corporation, Multi Service Company, and Johnny Eason are citizens of South Carolina; Sabre 56 Corporation, The Crypto Can Man Ltd., and Tyler MacPhearson are citizens of Canada; Sabre56 FZCO is a citizen of the UAE; and Phil Harvey is a citizen of the United Kingdom.

See Complaint [ECF No. 1-1] at ¶¶ 1-12; Notice of Removal [ECF No. 1] at ¶¶ 10-21; Declarations of Munaf Ali and Jeetendra Bhatia [ECF Nos. 41-1 & 41-2]; *see also* ECF Nos. 14, 14-1, 27 & 41 (parties' briefs discussing citizenships). **[*4]**

On July 21, 2022, Defendant The Crypto Can Man Ltd. ("CCM") removed the action to this Court alleging diversity jurisdiction exists under *28 U.S.C. § 1332(a)(3)*. ECF No. 1. On August 1, 2022, Plaintiffs filed the instant motion to remand asserting, *inter alia*, that diversity is lacking. ECF No. 14. Defendant CCM filed a response in opposition to the motion, and Plaintiffs filed a reply. ECF Nos. 27 & 41.

Discussion

Plaintiffs argue "there is no diversity jurisdiction in this matter because Plaintiffs, who are all entities with either sole or dual alien citizenship, are suing five defendants who have alien citizenship and three defendants who have domestic citizenship." ECF No. 14 at p. 3. The Court agrees.

"The party seeking removal bears the burden of showing removal is proper. Because removal jurisdiction raises significant federalism concerns, [a court] must strictly construe removal jurisdiction. If federal jurisdiction is doubtful, a remand is necessary." *Mayor & City Council of Baltimore v. BP P.L.C., 31 F.4th 178, 197 (4th Cir. 2022)* (internal quotation marks and citations omitted).

A defendant can remove "any civil action brought in a State court of which the district courts of the United States have original jurisdiction." *28 U.S.C. § 1441(a)*. Defendant CCM invokes *28 U.S.C. § 1332**(a)(3)***, which provides original diversity **[*5]** jurisdiction if the amount in controversy exceeds $75,000 and the action is between "citizens of different States and in which citizens or subjects of a foreign state are additional parties." *See Newman-Green, Inc. v. Alfonzo-Larrain, 490 U.S. 826, 828, 109 S. Ct. 2218, 104 L. Ed. 2d 893 (1989)* (noting *§ 1332(a)(3)* confers

[1] The Court decides the motion without a hearing pursuant to Local Civil Rule 7.08 (D.S.C.).

jurisdiction "when a citizen of one State sues both aliens and citizens of a State (or States) different from the plaintiff's"); *Zenith Elecs. Corp. v. Kimball Int'l Mfg., Inc., 114 F. Supp. 2d 764, 768 (N.D. Ill. 2000)* ("[T]he language of *§ 1332(a)(3)* clearly dictates that federal diversity jurisdiction exists where aliens are *additional* parties in a suit between American citizens of different states."). "[A] dual citizen of both a domestic state and a foreign state cannot be both a 'citizen of a State' and an 'additional party' for purposes of *§ 1332(a)(3)*." *FPACP4 LEX, LLC v. Stantec, Inc., F. Supp. 3d , , 2022 U.S. Dist. LEXIS 30624, 2022 WL 523124, at *2 (N.D. Ill. Feb. 22, 2022)*.[2]

"A federal court must determine and compare the citizenship(s) of all plaintiffs and all defendants before exercising diversity jurisdiction under *§ 1332(a)*." *Navy Fed. Credit Union v. LTD Fin. Servs., LP, 972 F.3d 344, 353 (4th Cir. 2020)*. "*Section 1332(c)(1)* specifies the rules governing the citizenship of corporations," *id.*: "a corporation shall be deemed to be a citizen of every State and foreign state by which it has been incorporated and of the State or foreign state where it has its principal place of business." *28 U.S.C. § 1332(c)(1)*. Thus, "[a] corporation has dual citizenship: it is a citizen of its state of incorporation and the state where its **[*6]** principal place of business is located." *Hawkins v. i-TV Digitalis Tavkozlesi zrt., 935 F.3d 211, 222-23 (4th Cir. 2019)*; *see Bayerische Landesbank v. Aladdin Cap. Mgmt. LLC, 692 F.3d 42, 51 (2d Cir. 2012)* ("Every corporation is now treated for diversity purposes as a citizen of both its state of incorporation and its principal place of business, regardless of whether such place is foreign or domestic.").[3]

> The question of diversity jurisdiction for corporations with dual citizenship is not an either/or proposition in which the parties on either side of the dispute (or the Court for that matter) are given a choice to decide which citizenship applies in any particular case and thus to determine the existence of diversity jurisdiction based on that one citizenship. Rather, for this Court to exercise jurisdiction over a matter, the diversity test must be satisfied under both citizenships.

IGY Ocean Bay Properties, Ltd. v. Ocean Bay Properties I Ltd., 534 F. Supp. 2d 446, 448 (S.D.N.Y. 2008); *see, e.g., Slavchev v. Royal Caribbean Cruises, Ltd., 559 F.3d 251, 254-55 (4th Cir. 2009)* (finding no diversity because "this case involves a claim by an alien (Bulgarian) against a corporation with the dual citizenship of Florida and a foreign state, Liberia").

"[D]iversity is lacking where on one side there are citizens and aliens and on the opposite side there are only aliens[.]" *Gen. Tech. Applications, Inc. v. Exro Ltda, 388 F.3d 114, 120 (4th Cir. 2004)* (ellipsis omitted); *see Universal Licensing Corp. v. Paola del Lungo S.p.A., 293 F.3d 579, 581 (2d Cir. 2002)* ("[D]iversity is lacking . . . where the only parties are foreign entities, or where on one side there are citizens and aliens **[*7]** and on the opposite side there are only aliens."); *U.S. Motors v. Gen. Motors Eur., 551 F.3d 420, 423 (6th Cir. 2008)* (same); *Extra Equipamentos E Exportacao Ltda. v. Case Corp., 361 F.3d 359, 361 (7th Cir. 2004)* (same); *Dresser Indus., Inc. v. Underwriters at Lloyd's of London, 106 F.3d 494, 499 (3d Cir. 1997)* (same); *see also Grupo Dataflux v. Atlas Glob. Grp., L.P., 541 U.S. 567, 569, 124 S. Ct. 1920, 158 L. Ed. 2d 866 (2004)* (noting "aliens were on both sides of the case, and the requisite diversity was therefore absent"). Thus, "for diversity jurisdiction to exist in this case pursuant to *section 1332(a)(3)* there must be a United States citizen on each side of the dispute." *ACCO Brands USA LLC v. Piñeyro y Lara Comercial S.A., 27 F. Supp. 3d 256, 259 (D.P.R. 2014)*.

Here, diversity is absent because Plaintiffs are aliens while Defendants are a mixture of citizens and aliens. Although two Plaintiffs—Absolute Power Solutions, Inc. and Block Zero HS, Inc.—are citizens of Delaware (their state of incorporation), they are also citizens of the UAE (their principal places of business).[4] Such dual citizenship

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[2] "Two provisions in *28 U.S.C. § 1332(a)* give district courts jurisdiction over civil actions that include foreign citizens and that seek more than $75,000": *§ 1332(a)**(2)*** and *§ 1332(a)**(3)***. ***In re DePuy Orthopaedics, Inc. ASR Hip Implant Prod. Liab. Litig., 953 F.3d 890, 894 (6th Cir. 2020)***. *Section 1332(a)(3)* does not apply for the reasons explained herein, and *§ 1332(a)(2)* does not apply "because citizens of foreign states fall on both sides of the dispute and so complete diversity is lacking." ***Id. at 895***.

[3] "Any other business entity, such as a partnership [or a limited liability company], is treated as an unincorporated association, which has the citizenship of each of its members." ***Hawkins, 935 F.3d at 223***; *see Cent. W. Virginia Energy Co. v. Mountain State Carbon, LLC, 636 F.3d 101, 103 (4th Cir. 2011)*.

does not confer diversity jurisdiction. *See* *Slavchev, IGY Ocean Bay, and Stantec, supra*; *see, e.g.,* *ACCO Brands, 27 F. Supp. 3d at 260* (holding a domestic corporation with a foreign principal place of business does not satisfy *§ 1332(a)(3)*'s minimal diversity requirement). The Court must remand this case to state court for lack of subject matter jurisdiction. *See* *28 U.S.C. § 1447(c)* ("If at any time before final judgment it appears that the district court lacks subject matter jurisdiction, the case shall be remanded.").[5]

Conclusion

The Court **GRANTS** Plaintiffs' motion to remand [ECF No. 14] and **REMANDS** this case to the Court of Common **[*8]** Pleas for Dillon County, South Carolina. The Court **DIRECTS** the Clerk to mail a certified copy of this Order to the clerk of the Dillon County Court of Common Pleas.

IT IS SO ORDERED.

Florence, South Carolina

August 29, 2022

/s/ R. Bryan Harwell

R. Bryan Harwell

Chief United States District Judge

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[4] Defendant CCM's diversity argument hinges solely on the citizenship of these two Plaintiffs. *See* ECF No. 27 at pp. 4-6.

[5] The Court need not address Plaintiffs' two other arguments for remand (the forum defendant rule and the rule of unanimity for removal) or Defendant CCM's response in opposition to these arguments.